

KEY TERMINOLOGY

ECONOMY



- Barter System
- Debtor and Creditor
- Currency
- RBI and Banks
- Double Coincidence of Wants

MODULE - 1

- Formal Sector Loans
- Informal Sector Loans
- Liquidity
- Collateral

KEY TERMINOLOGY IN ECONOMY

BARTER SYSTEM



BARTER SYSTEM

Goods are directly exchanged without the use of money

DOUBLE COINCIDENCE OF WANTS



DOUBLE COINCIDENCE OF WANTS

It is the situation what a person desires to sell is exactly what the other wishes to buy.

KEY TERMINOLOGY IN ECONOMY

DOUBLE COINCIDENCE OF WANTS ? ? ?



SAMSUNG



BLACKBERRY



HTC



APPLE

KEY TERMINOLOGY IN ECONOMY

DOUBLE COINCIDENCE OF WANTS ???



MARUTI SWIFT



HONDA JAZZ



TATA TIAGO



TOYOTA COROLLA



VOLKSWAGEN TOUAREG

KEY TERMINOLOGY IN ECONOMY

CURRENCY



Paper Notes



Coins

CURRENCY

- It is modern form of money
- It is accepted as medium of exchange
- Authorised by the government as a legal tender

KEY TERMINOLOGY IN ECONOMY



LEGAL TENDER



LEGAL TENDER

It is authorised by the government for all transactions and no one can deny that as a medium of exchange

KEY TERMINOLOGY IN ECONOMY



RESERVE BANK OF INDIA AND BANKS



RESERVE BANK OF INDIA

Reserve Bank of India takes liability for the value designated in the currency notes



बैंक ऑफ़ बड़ौदा
Bank of Baroda
India's International Bank

केनरा बैंक
Canara Bank



State Bank of India
THE BANKER TO EVERY INDIAN

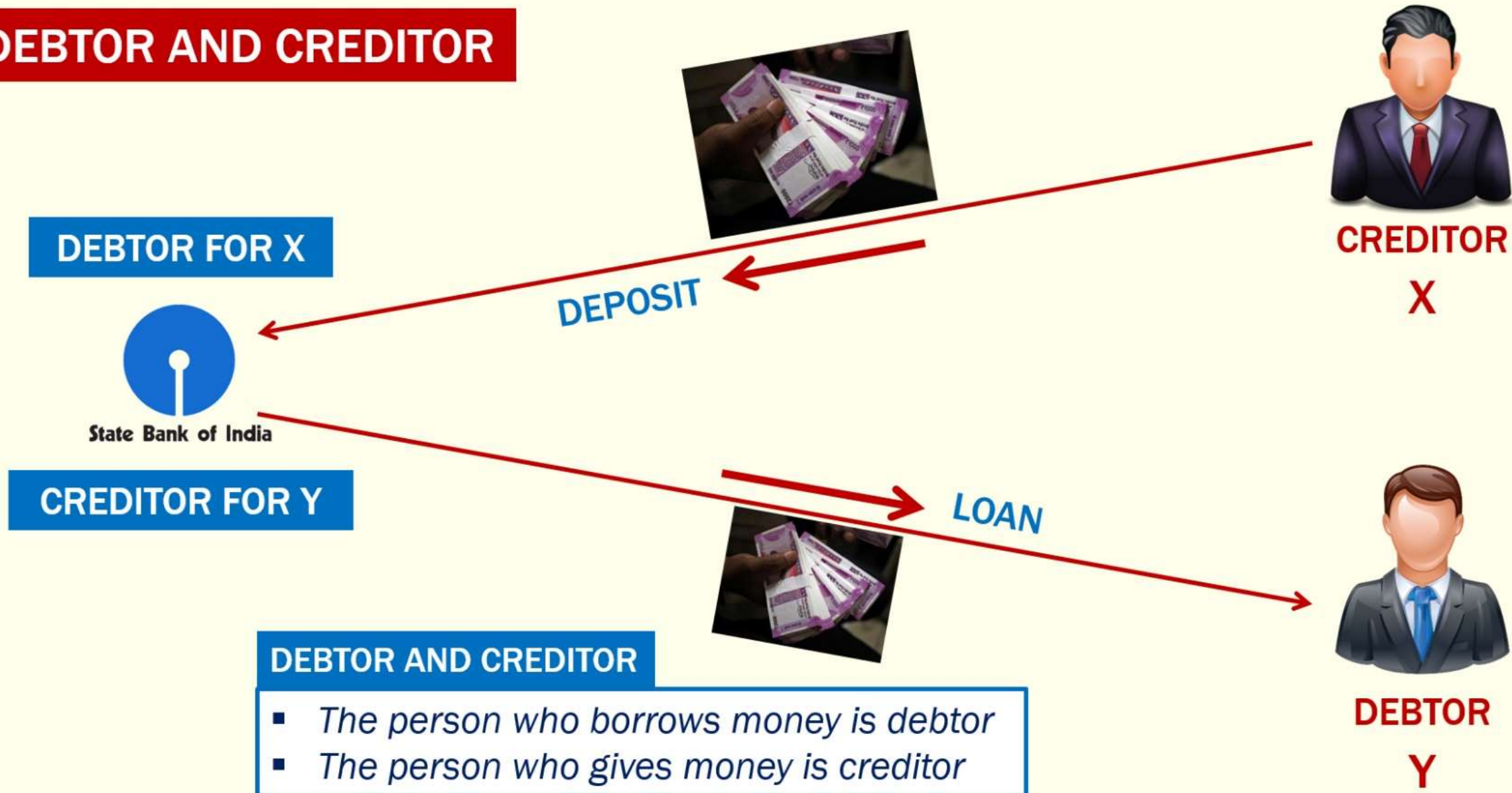


ICICI Bank



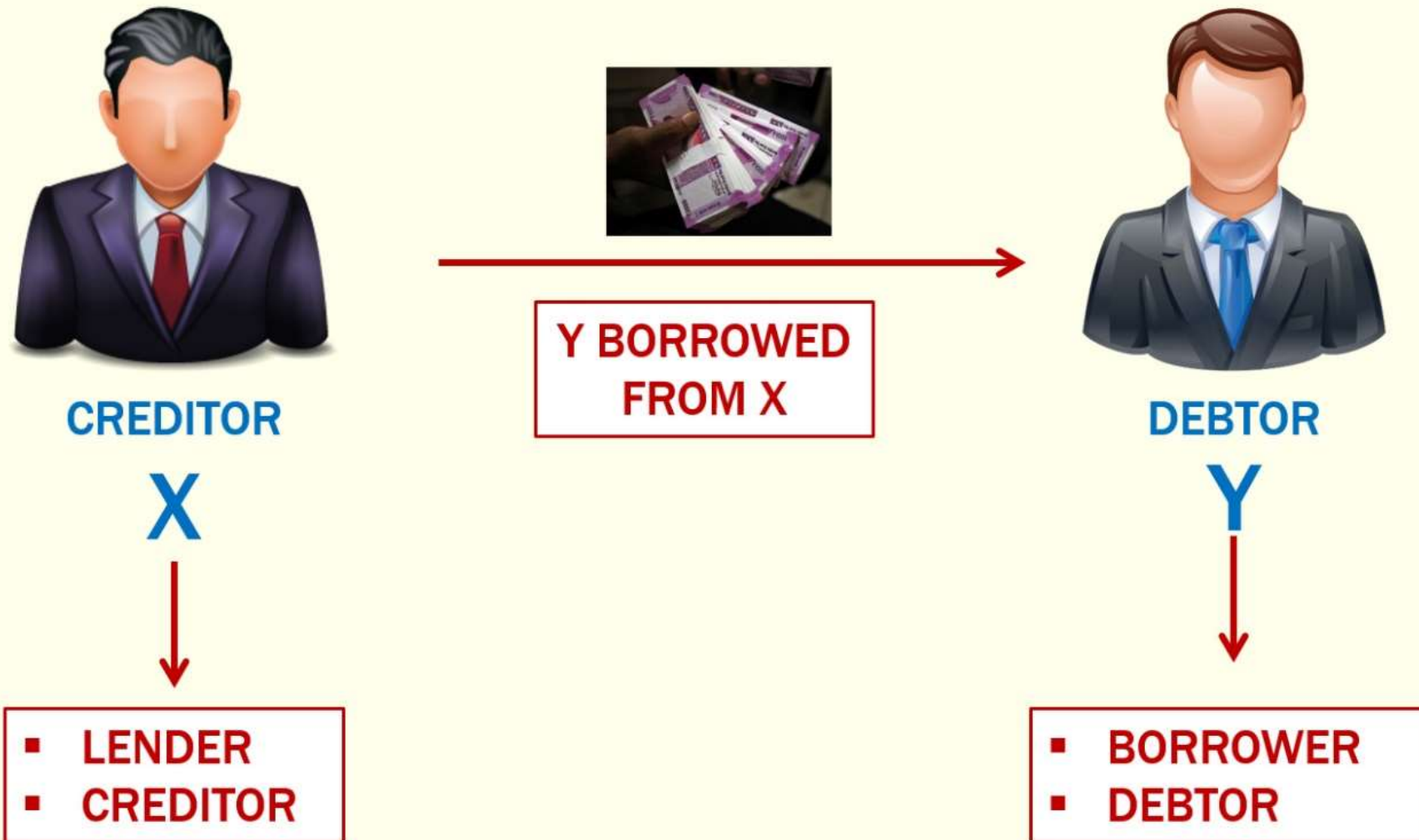
KEY TERMINOLOGY IN ECONOMY

DEBTOR AND CREDITOR



KEY TERMINOLOGY IN ECONOMY

DEBTOR AND CREDITOR



KEY TERMINOLOGY IN ECONOMY



FORMAL SECTOR LOANS AND INFORMAL SECTOR LOANS

FORMAL SECTOR LOANS



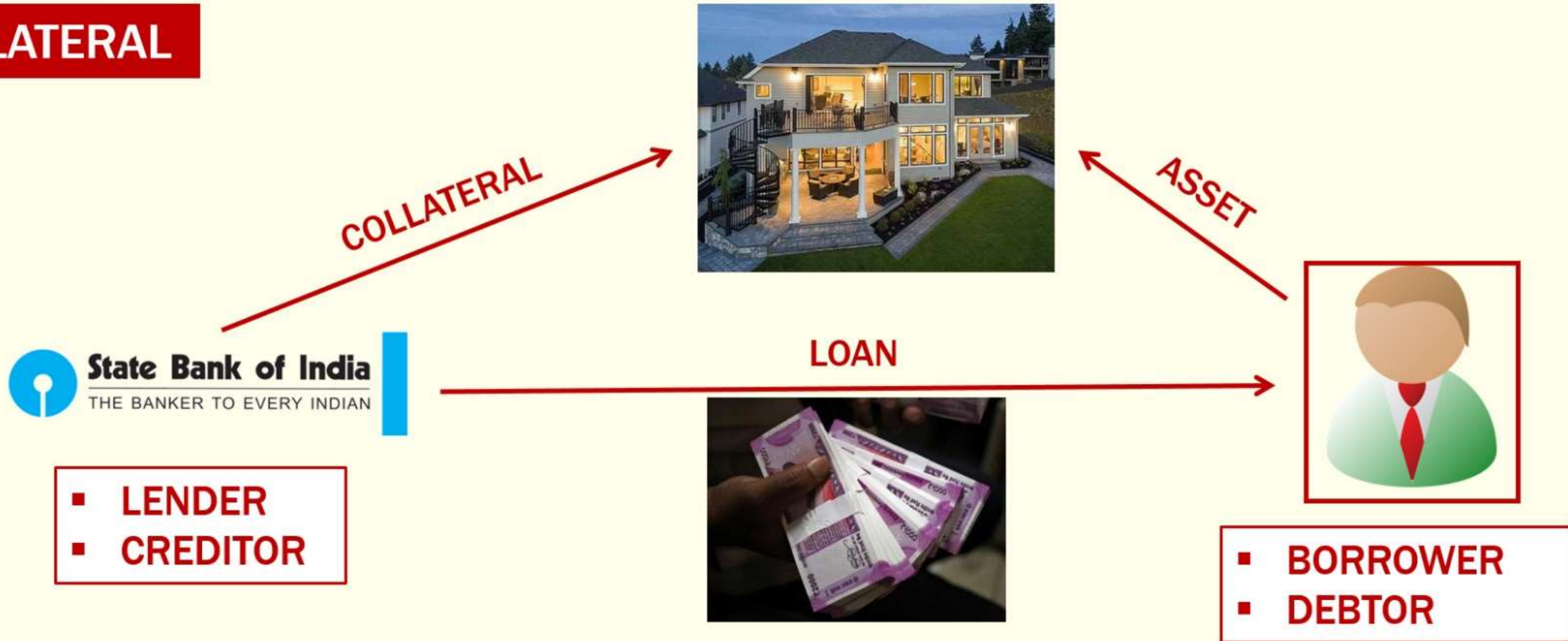
The Andhra Pradesh State
Co-operative Bank Limited
A Government Partnered Scheduled Bank



- Interest rates are less
- Liquidity and solvency are taken care of by regulators
- Loans are given to various specified sectors
- Small scale industries, cultivators are given due importance
- Some times, loan waiver takes place in case of distress

KEY TERMINOLOGY IN ECONOMY

COLLATERAL



COLLATERAL

This is the security given by the borrower while taking the loan

KEY TERMINOLOGY IN ECONOMY

FORMAL SECTOR LOANS AND INFORMAL SECTOR LOANS

INFORMAL SECTOR LOANS



MONEY LENDERS



TRADERS



FRIENDS

FORMAL SECTOR LOANS AND INFORMAL SECTOR LOANS

INFORMAL SECTOR LOANS



- Higher cost of borrowing i.e. Interest rate is very high
- Larger part of the earnings is used to repay the loans
- Some times, people are thrown into debt trap
- In rare cases, it may also lead to bonded labour

KEY TERMINOLOGY IN ECONOMY

LIQUIDITY



Savings Account with SBI

LIQUIDITY

The asset/ financial instrument, which can be converted to cash form as and when required, without (much) loss of value can be stated as liquid asset

KEY TERMINOLOGY IN ECONOMY

LIQUIDITY



Is this building can be called as liquid asset?